



ILLUSTRATION BY RAJ VERMA

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already underway and poses serious risks of supply chain disruptions and even currency skirmishes if the economic situation worsens. New alliances are being forged between the big global players, hard stances adopted, and the dollar's preeminence challenged.

India seems to be in a relatively better place, but it would be foolish to be complacent as we can never be immune to the world's problems. Rising energy prices are already beginning to pinch, and the latest Consumer Price Inflation (CPI) print of 6.95 per cent in March is a warning that the RBI may already have fallen behind the curve. Soon, it won't have much choice but to prioritise inflation over growth.

Inflation expectations are already getting entrenched with consumers and this will inevitably lead to curtailment of discretionary consumption, possibly leading to lower-than-expected growth, and earnings for many companies. Indian macro, which looked rock solid even a few months ago, is beginning to show some cracks. The less said of global macro, the better.

More than anything else, what all this does is create an air of great uncertainty—an environment that suffocates risk taking. After many years, Indian companies were on the brink of embarking on capacity expansion, nudging our investment-to-GDP ratio higher. As commodity prices rise, some metal companies

and upstream energy players may consider it attractive to commission new projects, but the rest of the pack may—deterred by the prospect of shrinking margins, declining demand and general global uncertainty—easily go into a shell. This would dash hopes of a new capex cycle, so critical for accelerating our medium-term growth trajectory.

It is always good to be hopeful and optimistic, as that is what carries us forward, but sometimes, it pays to be realistic and heed clear and present signs of danger which lie ahead. This is not the kind of pitch where even the best batsmen should be playing shots. Better to bide one's time and get through this in one piece. **BT**